Seal that Deal

Deal sites are dime-a-dozen these days but what really goes on behind-the-scenes? Read on to find out

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We have all come across them at some point online. Popular dailies have them advertised everyday. Yes, we are talking about daily deals and group buying web sites which offer you discounts that will make your jaws drop. Of course there are e-commerce sites featuring deals of the day, but we are concerned only with deal sites. The discounts may at times seem unreal. So ever wondered how these web sites manage to get them in the first place and what goes on behind the scenes? We did too and will try to answer that very question in this article.

Humble beginnings

Group buying has its origins in the late 90s when Microsoft co-founder Paul Allen had created this site called Mercata.com. The web site, now dead, created a platform for buyers who wanted to shop for the same item. Provided there were enough buyers for that particular item, a discount would be negotiated with the site selling the item. But unfortunately for Mercata, it had to shut down by 2001. Halfway across the world, in China, a variation of this concept was in the works. This phenomenon called *Tuangou* (Chinese for team-buying or group-buying) was quite popular in China by the early 2000s. In chat rooms, like-minded consumers would decide to meet up at a physical retail store on a fixed date, at a fixed time, to buy an item at a discount. It was like an in-store flash-mob, where the consumers would mob the store to get discounts on the same item that everyone wanted to buy. Majority of the time, the consumers got what they wanted, as the seller was selling high volumes, although at slightly lesser margins. It was a win-win for both. Back in the early 2000s, there weren't many social networking tools at our disposal. But in this day and age, with the prevalence of Twitter, Facebook, Google+ and other sites, it is not hard to spread the word and deal-a-day sites which are mushrooming these days, have that advantage over a Mercata, back in the day.

What has changed?

Not much actually. Group-buying websites feature an offer – say 80 per cent off on a 3 days 4 nights travel package – but that offer will "tip" only when there are a minimum number of consumers (say 30) who want that discount. Tip in this scenario means that the deal will be activated only if there are over 30 people clicking "Buy" on that offer. Another variation of this is Deal-a-day sites, which have heavy discounts on various offerings, and which can be bought by individual consumers without having to wait for others to sign up.

That's the front end. What goes on behind the scenes is interesting.

Dealing out deals

"To source deals and offers we have a dedicated team which directly contacts the service provider. The whole process is similar to that of customer acquisition in any business. Initially the cost of acquiring a customer is high, however, if the business can retain the same customer it becomes a highly profitable customer over its lifetime," says Anurag Aggarwal, CEO of Khojguru.com.

Faisal Farooqui of Dealface.in, a daily deals site which only offers deals on services concurs. "Seventy per cent of the merchants that are listed on our site are those that we have approached, whereas the other 30 per cent have contacted us."

According to others, such as Groupon's Indian arm Crazeal's CEO, Ankur Warikoo, it is just another marketing platform for merchants, who would anyways spend that money on other media. "All our